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Aerospace & Defense Practice

European defense by the numbers

The McKinsey European Defense Dashboard presented here provides a comprehensive set of metrics to track the evolving defense posture of European NATO countries.

This article is a collaborative effort by David Chinn, Hugues Lavandier, and Jakob Stöber, with Marcel Schlepper and Tobias Otto, representing views from McKinsey's Aerospace & Defense Practice.

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European NATO countries are entering a decisive phase of acceleration in defense. Driven by the objectives of military readiness and strategic sovereignty, allies agreed at the NATO Summit in The Hague on a new benchmark of at least 3.5 percent of GDP for core defense spending.[1] Accounting for fiscal capacity, this could lift European defense spending toward €800 billion by the end of the decade.

Markets have reacted quickly to this shift. Defense equity valuations have increased markedly, and venture capital funding for European defense start-ups is rising. Other parts of the defense ecosystem are taking more time to adjust. Order backlogs are expanding, a substantial share of equipment continues to be sourced outside Europe, and equipment stocks—reduced by recent donations—remain below their 2021 levels.

The McKinsey European Defense Dashboard provides a quantitative baseline for Europe's transition. We introduce 17 indicators that capture the state of European defense in numbers (Exhibit 1). Together, they offer a fact-based view of where Europe is today, where momentum is built, and where structural constraints could slow the path from spending to military capabilities.

[1] "The Hague Summit Declaration," NATO, June 25, 2025.

Exhibit 1

The McKinsey European Defense Dashboard provides a comprehensive set of metrics to track the evolving defense posture.

European defense by the numbers

Trend: Upward Downward

Industry

Indicator	Description	European NATO countries	European NATO countries change vs . . .			US	Total NATO
			–1 year	–3 years	–5 years		
Performance of defense stocks	TSR for equal-weight defense index	113%	+82 pp	+80 pp	+122 pp	42%	69%
Share of global defense revenue	Revenue of European defense companies out of global top 100 companies' revenue[2]	23%	+2 pp	+3 pp	+4 pp	49%	73%
Direct employment in defense	Number of direct employees in defense industry (excluding supply chain)[3]	633k	+9%	+36%	+44%	N/A[4]	N/A[4]
Lead times for primes and OEMs	Aggregate backlog-to-revenue ratio for defense primes and electronics OEMs[5]	3.7	+0.1	+0.8	+0.9	2.4	2.8
Regional procurement	Share of platform procurement contracts signed with domestic or European players	49%	–5 pp	+2 pp	–24 pp	>95%[6]	N/A[7]
Venture capital investment	Venture funding collected by defense tech start-ups	€2.6 bn	+204%	+631%	+1,634%	€7.4 bn	€10.0 bn

Note: For consistency over time, values are estimated for the current 29 European NATO members. Latest available year—either 2025 or 2024. Descriptions apply for European NATO countries. Pp = percentage point. [1]Company selection based on Stockholm International Peace Research Institute (SIPRI) and Defense News top 100 defense companies (with defense share of at least 33%). [2]Includes all Aerospace, Security and Defence Industries Association of Europe (ASD) member countries—not all are NATO members (and vice versa); slight composition change over time due to inclusion of Ireland, Lithuania, and Romania in 2023 and 2024. [3]No US comparison with same methodology available. [4]Company selection based on SIPRI and *Defense News* top 100 defense companies (with defense share of at least 50% or reporting defense business unit separately). [5]Procurement from domestic suppliers. [6]Not possible as different definitions are applied for European NATO countries and US.
Source: Annual reports of defense companies; ASD Europe; DACIS, Infobase Publishers; Defenste News; International Institute for Strategic Studies—The Military Balance Plus; PitchBook Data, Inc.; SIPRI; S&P Global Market Intelligence; McKinsey Corporate Performance Analytics; McKinsey analysis

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Exhibit 1 continued

European defense by the numbers

Trend: Upward Downward

Government

Indicator	Description	European NATO countries	European NATO countries change vs . . . –1 year	–3 years	–5 years	US	Total NATO
Defense budgets compared to GDP	Share of aggregate GDP being employed for defense spending	2.4%[1]	+0.3 pp	+0.7 pp	+0.7 pp	3.2%[1]	2.8%[1]
Equipment investment	Share of defense spending being employed for equipment purchases	34%[1]	+4 pp	+8 pp	+11 pp	30%[1]	31%[1]
Share of equipment spend	Investment of European NATO countries into equipment compared to total NATO	39%[1]	+6 pp	+12 pp	+16 pp	59%[1]	100%[2]
Defense spending 3 years out[3]	Estimated size of future defense spending in McKinsey's outlook	€675 bn	+24%	N/A[4]	N/A[4]	N/A[5]	N/A[5]
Equipment spending 3 years out[3]	Estimated size of future equipment spending in McKinsey's outlook	€265 bn	+41%	N/A[4]	N/A[4]	N/A[5]	N/A[5]
Fiscal capacity	Ratio of aggregate general government debt over GDP	83%	+1 pp	+0 pp	–8 pp	125%	106%

[1]For 2025, only preliminary numbers reported by NATO. [2]By definition. [3]Compares outlooks for 2028 based on "Balanced achievement of 3.5% in 2035" path in current forecast vs "minimum" path in previous forecast, which captured national budgets until February 2025. [4]Data not available. [5]No budget released for 2028 by current administration.
Source: European Central Bank; International Monetary Fund; NATO; McKinsey European Defense Budget Outlook; McKinsey analysis

Military

Indicator	Description	European NATO countries	European NATO countries change vs . . . –1 year	–3 years	–5 years	US	Total NATO
Military personnel	Number of active military personnel in armed forces	2.1 mn	+2%	+7%	+11%	1.3 mn	3.5 mn
Main battle tanks	Number of active main battle tanks in armed forces	6,700	+1%	+3%	+0%	2,650	9,400
Tactical combat aircraft	Number of active fighter jets and ground attack/fighter bombers in armed forces	2,050	+2%	–2%	–5%	3,050	5,200
Large surface combatants	Number of active cruisers, destroyers, and frigates in armed forces	127	–3%	–5%	–7%	110	249
Fragmentation	Number of different military assets in operation in 9 categories[1]	125	–3%	+0%	+2%	29	145

[1]Categories are main battle tanks, armored infantry fighting vehicles, 152/155mm howitzers, long-range air defense, tactical combat aircraft, attack helicopters, large surface combatants, conventional and nuclear submarines.
Source: International Institute for Strategic Studies—The Military Balance Plus; NATO; McKinsey analysis

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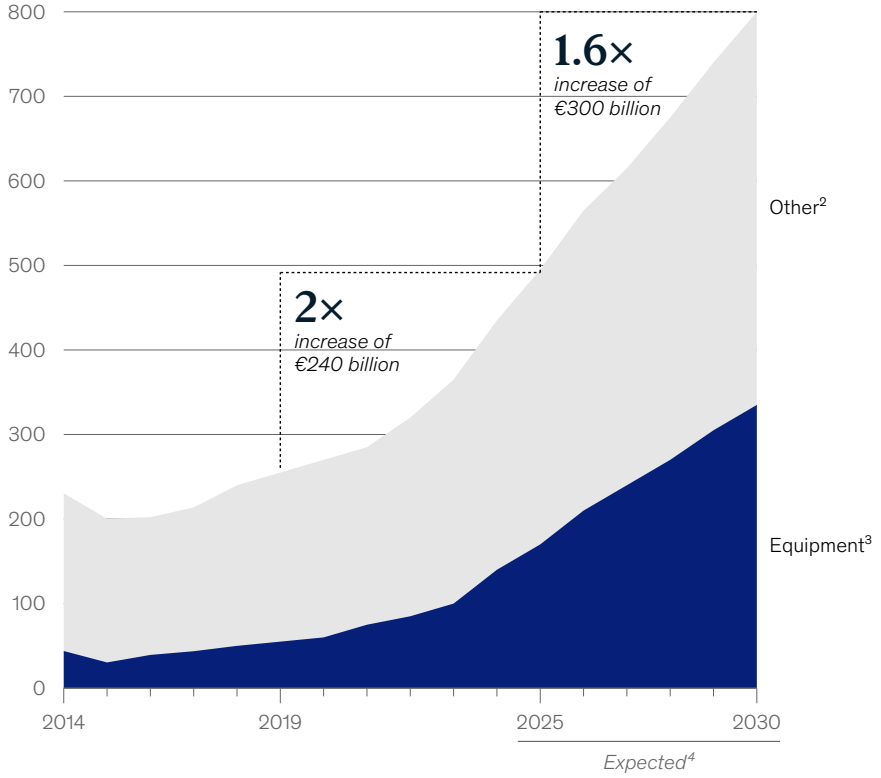
European defense spending is surging. Core defense spending has doubled since 2019 and, under NATO's new 3.5 percent benchmark for 2035, could reach about €800 billion by 2030—roughly 2.9 percent of GDP (Exhibit 2). Much of this increase is expected to flow into equipment, supporting a broad build-up of military capability. Beneath the aggregate picture, spending growth remains uneven, with the Baltics, Germany, and the Nordics moving faster than much of Southern Europe, implying that capability gains will emerge at different speeds across the continent. Higher defense outlays are also adding to debt pressures, leaving longer-term funding less certain—especially as EU fiscal rules return after 2028.

Exhibit 2

European defense spending may increase to €800 billion in 2030.

Core defense spending of European NATO countries,[1] € billion



[1]Scenario is based on balanced achievement of 3.5% core defense spending target as a share of GDP in 2035. Ramp-up to country-individual defense targets based on individual ambition level and fiscal space. Including current NATO members throughout. Employing fixed exchange rates as of July 9, 2025.
[2]Including spending on personnel, infrastructure, and others.
[3]According to NATO's definition, equipment expenditure includes major equipment expenditure (eg, aircraft; artillery; combat and transport vehicles; missiles) and R&D.
[4]Only preliminary numbers for 2025 have been communicated.
Source: European Central Bank; International Monetary Fund; NATO (2014–23); McKinsey European Defense Budget Outlook

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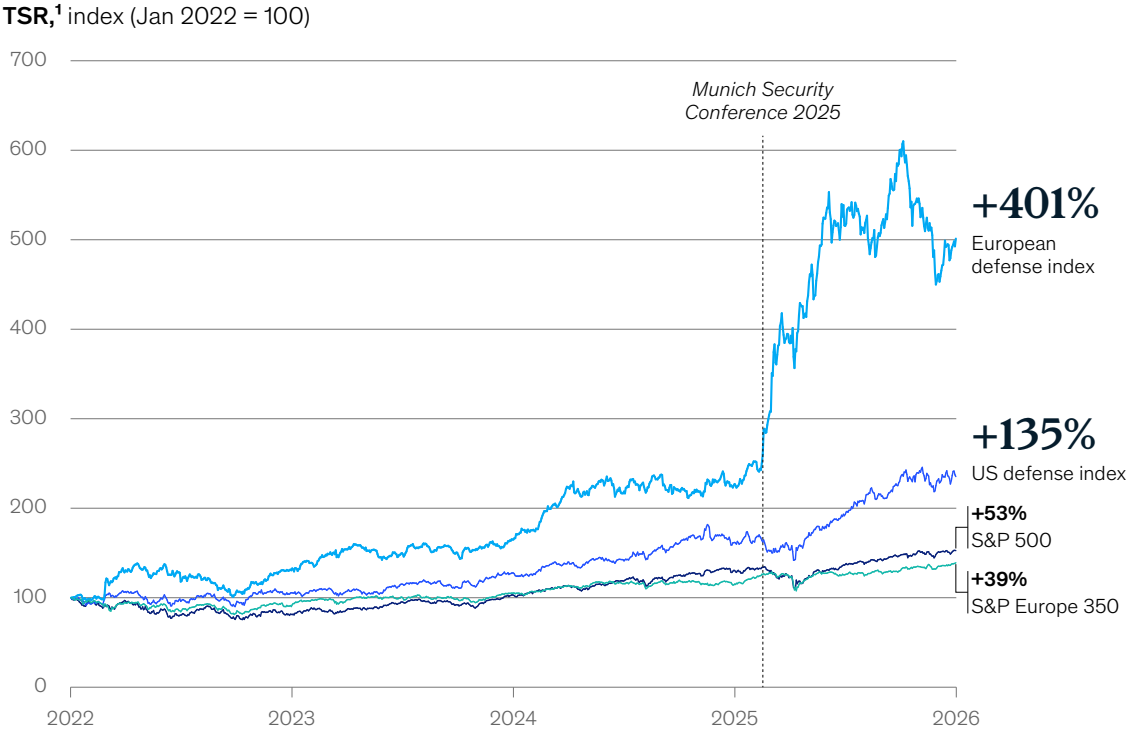
As expectations around defense spending have shifted toward sustained growth, financial markets have responded quickly. Since 2022, European defense companies have substantially outperformed broader equity indices and United States' peers (Exhibit 3). An equally weighted index of large, publicly listed European defense companies—each with at least one-third of revenues from defense—has delivered a total shareholder return of 401 percent since 2022. Much of this outperformance has occurred since the 2025 Munich Security Conference, in line with a growing emphasis on European defense autonomy and military readiness.

Exhibit 3

Since 2022, European defense companies have substantially outperformed other industry indices.



[1]Company selection based on the largest 100 defense companies by SIPRI and *Defense News* that have a defense share of at least one-third and were publicly listed by end of 2025. European defense index starts with 16 equally weighted companies and US defense index with 25 companies. Newly listed companies are added with a lag of 2 full months from IPO. Values for S&P are indicating total return.
Source: S&P Dow Jones Indices; S&P Global Market Intelligence; McKinsey Corporate Performance Analytics

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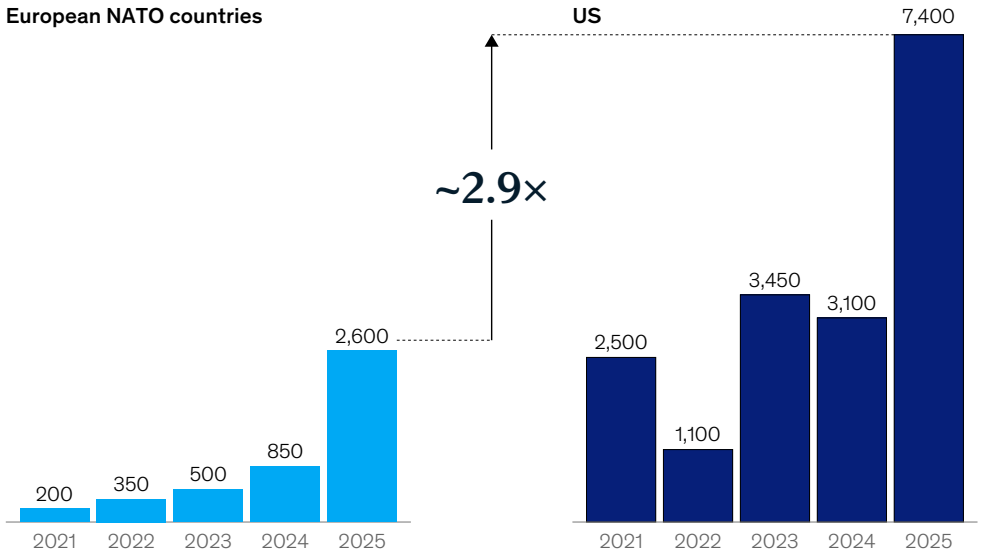
Alongside strong public market performance, venture capital investment in defense technology accelerated sharply in 2025 in both Europe and the United States, with deal volumes rising by a factor of two to three year on year (Exhibit 4). Over recent years, European defense tech funding has increased sharply, rising from around €200 million in 2021 to €2.6 billion in 2025. Despite this acceleration, the funding gap remains pronounced: US defense tech investment is still close to three times higher than in European NATO countries.

Exhibit 4

Despite strong acceleration in defense tech funding, the gap between Europe and the United States persisted in 2025.

Total venture deal volume for defense tech start-ups in Europe and the US,[1] € million[2]



[1]Includes venture capitalist, incubator, business angels, and other venture funding; excludes private equity, corporate funding, and space launch companies (eg, SpaceX).
[2]Converted into € based on exchange rate on Jan 2, 2026.
Source: McKinsey analysis, leveraging data by PitchBook Data, Inc.

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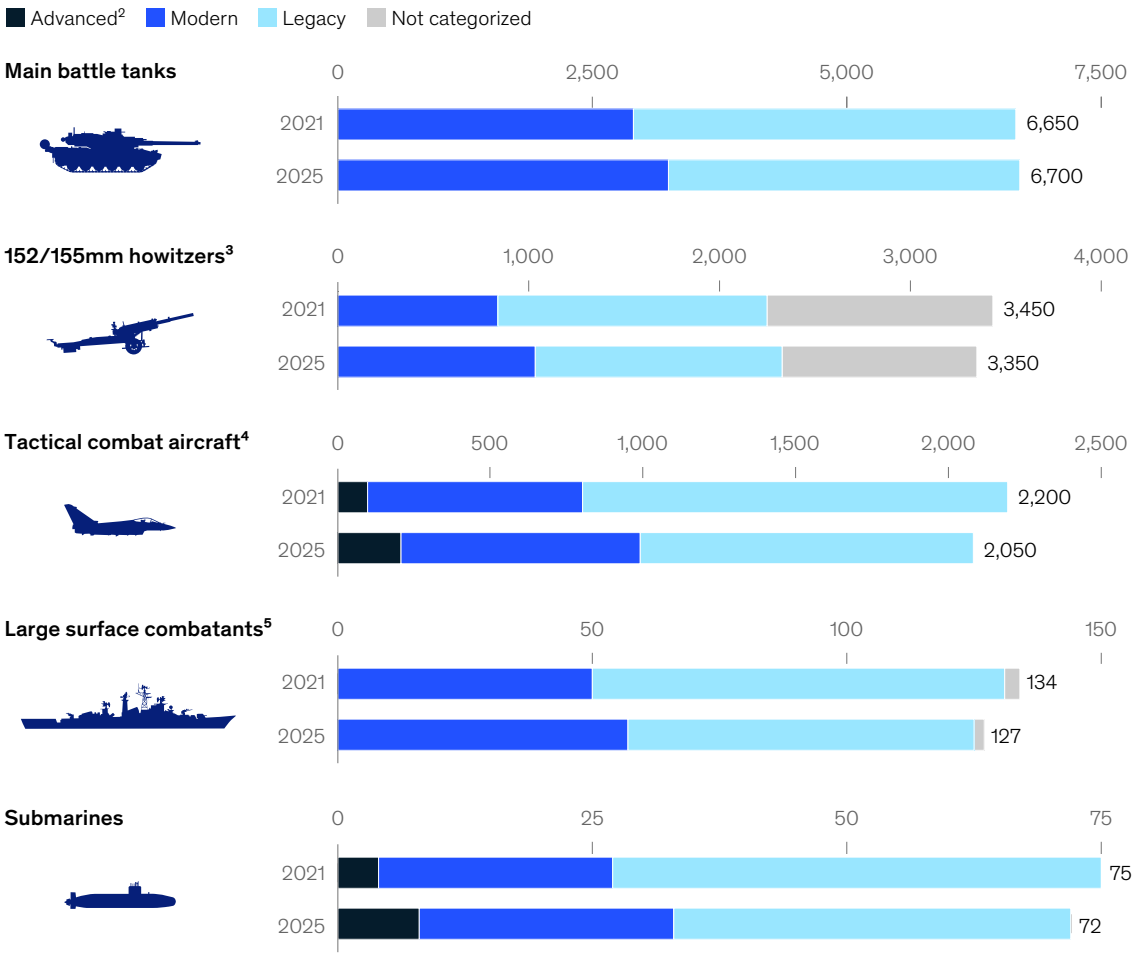
Even though investment has increased sharply, total equipment stocks in European NATO countries remain below their 2021 levels, reflecting military donations to Ukraine, the retirement of legacy systems, and long delivery timelines for new equipment (Exhibit 5). At the same time, equipment is becoming more modern, with both the share and number of platforms from recent generations rising across all major equipment categories. Looking ahead, equipment availability and military capabilities are expected to improve more visibly, as deliveries from recent orders are anticipated to accelerate in 2026 and 2027.

Exhibit 5

While the size of equipment stock has decreased since 2021, the number and share of modern military equipment are increasing in all categories.

Active military equipment stocks of European NATO countries[1] by modernity level, number



[1]For 2021 and 2025, all current European NATO members are included. [2]Modernity level advanced not assigned to main battle tanks and 152/155mm howitzers. [3]Excludes coastal artillery. [4]Includes fighter jets and ground attack/fighter bombers. [5]Includes destroyers and frigates.
Source: International Institute for Strategic Studies—The Military Balance Plus; McKinsey analysis

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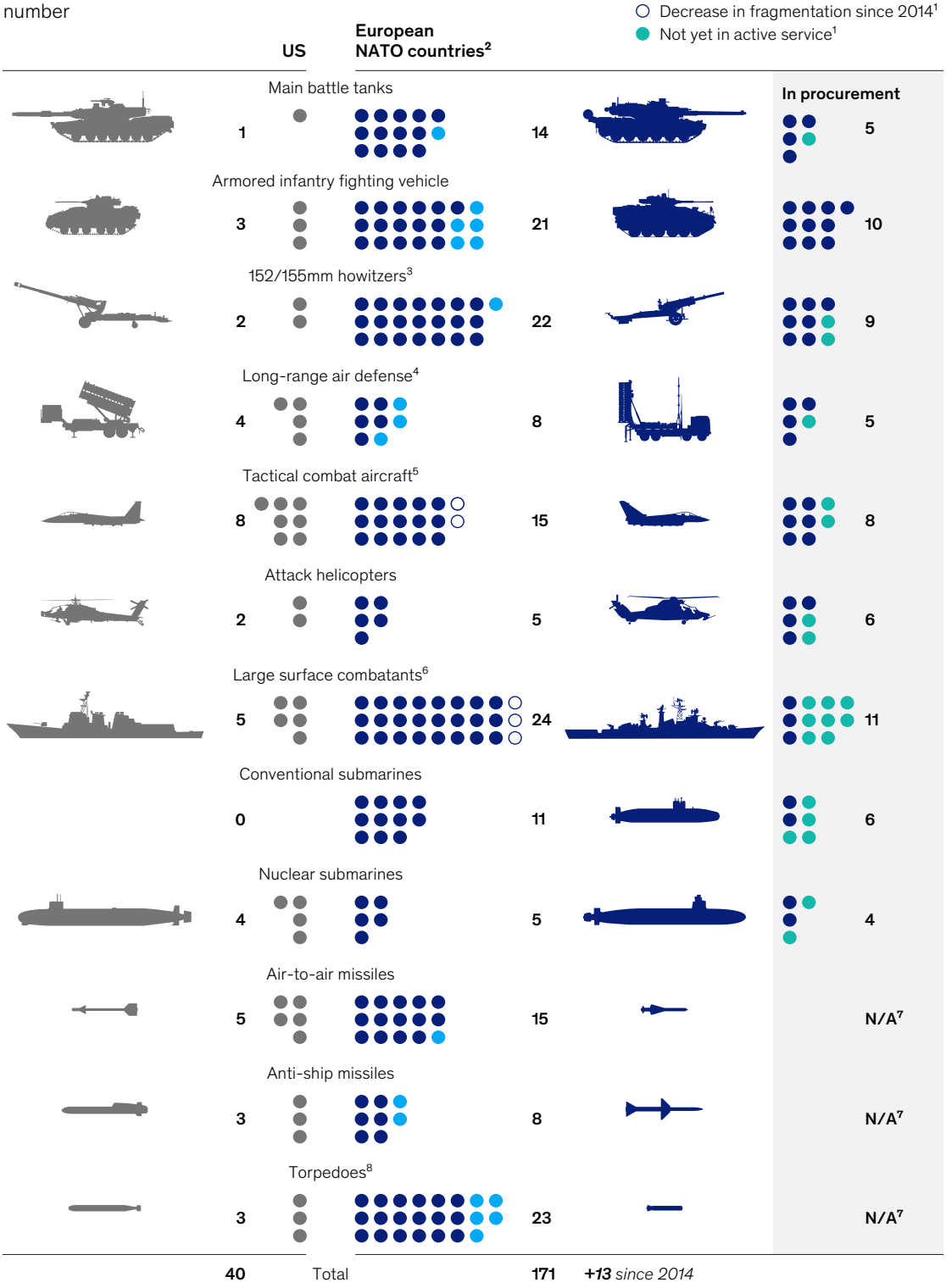
Even as spending and modernization progress, European NATO forces continue to operate a highly fragmented set of platforms, with fragmentation levels more than four times higher than in the United States (Exhibit 6). Fragmentation has increased by close to 10 percent since 2014, driven mainly by land systems and missiles. In addition, many naval platforms currently under procurement have not yet been fielded, pointing to further fragmentation as they enter service. As a result, equipment inventories are likely to remain diverse in the near term, with implications for interoperability, logistics, and industrial scale.

Exhibit 6

Fragmentation has increased since 2014 in most categories of military assets.

Different military assets in active service in 2025, number

- Increase in fragmentation since 2014[1]
- Decrease in fragmentation since 2014[1]
- Not yet in active service[1]



[1]For European NATO countries only. [2]Kept current European NATO countries composition for comparison to 2014. [3]Excludes coastal artillery. [4]Includes ballistic missile defense. [5]Includes fighter jets and ground attack/fighter bombers. [6]Includes destroyers and frigates. [7]Analysis not conducted for missiles and torpedoes. [8]Includes light- and heavy-weight torpedoes.
Source: DACIS; Infobase Publishers; International Institute for Strategic Studies—The Military Balance Plus; Tamarack Defense; McKinsey analysis

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Europe's defense effort is entering a decisive phase, marked by higher spending and renewed strategic commitment. Beneath the headline expansion, uneven national trajectories, delivery lags, and persistent fragmentation continue to limit how investment translates into military capabilities. Industrial ramp-up, execution capability, and collaboration across national defense ecosystems will determine the impact of the recent acceleration in European defense.

David Chinn is a senior partner in McKinsey's Tel Aviv office; **Hugues Lavandier** is a senior partner in the Paris office; and **Jakob Stöber** is a partner in the Munich office, where **Marcel Schlepper** and **Tobias Otto** are consultants.

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